

Constitution. It, however, did not make specific recommendations affecting the Centre-State financial flows on all of them. The highlights of its recommendations were as follows.

Its first major recommendation was to raise the share of States as a whole in the net tax revenues substantially. This can be seen with reference to the earlier Finance Commissions' recommendations provided in Table 12.2.

Table 12.2: States' Share in Divisible Pool of Central taxes

Finance Commission	States Share in the Net Proceeds of		
	Income Tax (%)	Union Excise Duties (%)	All Shareable Union Taxes (%)
FC-1 (1952-57)	55	40	
FC-2 (1957-62)	60	25	
FC-3 (1962-66)	66.66	20	
FC-4 (1966-69)	75	20	
FC-5 (1969-74)	75	20	
FC-6 (1974-79)	80	20	
FC-7 (1979-84)	85	40	
FC-8 (1984-89)	85	45	
FC-9-I (1989-90)	85	40	
FC-9-II (1990-95)	85	45	
FC-10 (1995-00)	77.5	47.5	
FC-11 (2000-05)			29.5
FC-12 (2005-10)			30.5
FC-13 (2010-15)			32
FC-14 (2015-20)			42

Before the 11th Finance Commission, Finance Commissions could recommend devolution with respect to two taxes only: income tax (after 1961, personal income tax only) was shareable as per the Constitution while Union excise duty was shareable if the Parliament so desired (it passed a resolution to share the tax). The 10th Finance Commission recommended a change in the system to sharing of all taxes, which was then made feasible with the necessary constitutional amendment; this was implemented with the awards of the 11th Finance Commission onwards. It may be noticed that there is a significant jump in the States' share recommended by the 14th Finance Commission. While this was extensively analysed by commentators, it actually signified a much smaller increase, the rest of it being a compensatory one for the discontinuation of Plan grants and the 14th Finance Commission consciously avoiding certain types of grants awarded by several previous Finance Commissions. This latter observation actually constitutes the second highlight of the 14th Finance Commission awards.

All the recent Finance Commissions had recommended conditional or specific-purpose grants, apart from the constitutionally ordained revenue deficit grants, those for local bodies, and for disaster relief/preparedness. In contrast, the 14th

Finance Commission took the position that other agencies with adequate domain expertise should be tasked with the responsibility of recommending specific purpose, or scheme specific grants. In the process, the transfers recommended by it were overwhelmingly unconditional, enhancing the autonomy of the States to decide the uses of the funds received.

The third highlight related to the use of population data. Several Finance Commissions preceding the 14th had used population data for the year 1971 for scaling purposes as also when population was directly used as a determinant of the transfers, as required by their ToR. This in turn was the result of a resolution of the Parliament. The basic idea was to provide an implicit incentive to States with lower growth of population as compared to the others, or rewarding successful control of population growth. However, its ToR marked a departure from the past several Finance Commissions; while the 14th Finance Commission was asked to continue with the 1971 population as the basic number, the ToR specified that it may consider ‘demographic changes’ post-1971 also. Accordingly, the 14th Commission used a variable termed ‘demographic changes’ (post-1971) in their suggested formula to determine tax devolution. Table 12.3 provides the determinants used by a few recent Finance Commissions to provide a context and comparison.

Table 12.3: Components and Weights used in Tax Devolution Formulae

Component	FC 11	FC 12	FC 13	FC 14
Income Distance/Fiscal Capacity	62.5%	50.0%	47.5%	50.0%
Population-1971	10.0%	25.0%	25.0%	17.5%
Area	7.5%	10.0%	10.0%	15.0%
Index of infrastructure	7.5%	-	-	-
Tax Effort	5.0%	7.5%	*	-
Fiscal Discipline	7.5%	7.5%	17.5%	-
Demographic Change (2011 population)	-	-	-	10.0%
Forest Cover	-	-	-	7.5%
* Included in fiscal discipline				

It can be seen that the formula for determination of the shares of individual States in tax devolution recommended by the 14th Finance Commission was different in two other respects. One, it did not include a traditional fiscal discipline/ tax effort variable – justified as providing the appropriate fiscal incentive – in its list of determinants on the ground that the already operational Fiscal Responsibility and Budget Management (FRBM) Acts of different States, and the incentives provided to the States to stay within the parameters defined by the Acts obviated the need for any further incentive. Two, it introduced a new determinant for the first time – the share of a State in total forest cover – in response to one clause of the ToR that stressed “the need to balance management of ecology, environment and climate change consistent with sustainable economic development”.

The fourth and final highlight related to a small variation permitted in the normative fiscal deficit level recommended for compliance with FRBM Act.

The two primary targets of FRBM legislations as recommended by preceding Finance Commissions were zero revenue deficit or a revenue surplus, and a maximum fiscal deficit of 3 per cent of Gross State Domestic Product (GSDP). The 14th Finance Commission allowed a maximum of 0.5 per cent of GSDP as additional fiscal deficit provided the concerned State had:

- a) Revenue deficit = 0;
- b) Debt-GSDP ratio = 25%;
- c) Interest payments = 10% of revenue receipts.

To avail of any additional fiscal deficit limit, a State had to fulfil the condition (a). Fulfilling conditions (b) and (c) entitled a State to 0.25 per cent additional fiscal deficit limit for each, available separately and simultaneously (if both the conditions were fulfilled). Thus, instead of a uniform prescription of 3 per cent fiscal deficit, States had three possible levels of fiscal deficit– 3 per cent, 3.25 per cent and 3.5 per cent, depending on their fulfilling conditions (a), (b), and (c). This partially met the critique of the uniform 3 per cent ceiling as a ‘one size fits all’ approach unsuitable for a large and diverse nation like India, where individual States had different investment needs and their financing requirements through borrowing.

The 15th Finance Commission was appointed in November 2017, and initially asked to submit its report by October 2019, as its award period was to begin from the fiscal year 2020-21. As has become customary, its ToR (see Appendix 12.2) contains several issues over and above the basic constitutionally mandated tasks. Of course, it is not necessary for the Commission to make recommendations on every item of the ToR– it was determined long ago by the Sixth Finance Commission that Finance Commissions were not bound by the ToR. However, they must give due consideration to each item of the ToR, and build in whatever considerations they feel appropriate into their recommendations. Also, an important change in the ToR that generated some controversy was a shift to the 2011 population (as opposed to the 1971 population) as the basic population data for each State. States with relatively greater success in controlling their population felt it to be a disincentive for containing population growth.

First because of the additional ToR to consider and suggest a dedicated financing mechanism for defence and internal security, and then because of the change in the status of the State of Jammu and Kashmir into two Union Territories, the Commission needed and was given a one-year extension. It provided a small first report in 2019, applicable to the fiscal year 2020-21 only. The first report marginally modified the share of the States in the net tax revenue of the Union to 41 per cent (Jammu & Kashmir was not covered any more), and also made some small changes in the tax devolution formula (the main one being the reintroduction of tax effort as a determinant with a small weight, and use of a variable representing Total fertility rate of a State as per 2011 Census data along with population as per 2011 Census). Its full report is expected in October 2020, but the outbreak of the COVID-19 pandemic, and its impact on the finances of the States and the Union, would require reconsideration of its entire approach and resultant computations. Moreover, the Commission has been asked to provide its recommendations for five more years till 2025-26, making it the only Finance Commission so far with its award period covering a total of six years instead of the customary five.

- 1) What is the (Union) Finance Commission? How is it distinct from State Finance Commission?

.....

.....

.....

.....

- 2) What is the basis for the recommendation of the tax devolution and grants made by the Finance Commission?

.....

.....

.....

.....

- 3) Discuss the role of GST Council in management and administration of GST jointly levied by the Centre and States.

.....

.....

.....

.....

- 4) State the highlights of the recommendations of 14th Finance Commission.

.....

.....

.....

.....

12.5 TRENDS AND ISSUES IN FISCAL FEDERALISM IN INDIA

12.5.1 Centralisation and Vertical Imbalance

Federalism in India has been evolving over time, with the broad structure given by the Constitution proving to be durable. However, the fiscal aspect of it has struggled to align with the political evolution of India. After independence, the country saw a politically dominant central government, with the State

governments basically playing the role of followers, primarily a result of most State governments dominated by the same political party that was in power at the Union level. This political landscape started changing gradually by the 'sixties, and by the mid-seventies, regional parties and others not in power at the centre were challenging the political monopoly, often successfully. The political non-conformity among the Union and States has now become the norm, and this has had implications for fiscal federalism, mainly expressed as the demand from the States for financial independence and autonomy. There were, to be sure, institutional responses to this development. The Planning Commission, for example, shifted from a system of scheme-based discretionary financial support system for State Plans, to a substantively formula-driven, block-grant based system in 1969 with the introduction of the well-known 'Gadgil formula' (later modified a little) designed to reduce micro-management of State Plans and enhance States' autonomy. Similarly, several Finance Commissions have also tried to reduce vertical imbalance as best as they could. But in general, the Union government has not been particularly supportive of greater fiscal – particularly revenue – decentralisation, although there have been a few instances of moving in the direction of greater State level financial autonomy.

Independent analysts have branded the system in India as 'quasi-federalism' because of certain centralising features– the primary one being the power of the national legislature to redefining State boundaries and change the political status of a State. This power has already been exercised a few times. Some other features like residuary powers resting with the Union, and the introduction of central planning through the creation of Planning Commission by the executive, have contributed to this view of a centralised federation. The vertical imbalance in revenue raising powers has also been quoted in this context, although most large federations are characterised by this feature in varying degrees. Because of the persisting need for resources to finance public interventions in a developing India, both the central and the State governments are always trying to garner resources for themselves, and this takes several forms, one of which is to get (or keep, as the case may be) as much as feasible for themselves. It should be noted here that the Union has access to additional sources of funds including deficit financing that the States do not have, and hence the position of the two levels of governments are not symmetrical. The Finance Commissions have generally been sympathetic to the plight of the States and have tried to allocate a fair share of resources to them. But the Union has tried to thwart these efforts often, as can be deduced from the following examples.

- In the early years of independent India, there was only one income tax covering both personal and corporate income tax. In 1961, the relevant Act was overhauled, and the accounts of the Union split the two income taxes into different major heads. This was followed by the position that corporate income tax was now a separate tax, and since the Constitution did not ask for sharing this and only income tax (interpreted to mean just the personal income tax), corporate income tax was not shareable. *De facto* additional resource mobilisation through personal income tax also decreased following this episode until the 10th Finance Commission recommended sharing of all taxes of the Union.
- A recent example of this tug-of-war for resources is provided by the Union government's reaction to the increased tax devolution recommended by the 14th Finance Commission. While a large part of this increase was actually

compensatory in nature consequent to abolition of the Plan transfers and eschewing sector-specific and scheme-based grants, only the increase was highlighted, and was followed by a restructuring of the financing of Centrally Sponsored Schemes such that, the additional financing required from the States practically wiped off whatever little net benefit the 14th Finance Commission had provided to the States.

- A third example relates to the rather liberal use of cess and surcharges by the Union government in recent years, a trend that is still continuing. Suffice it to point out that cess and surcharges are excluded from shareable taxes and have increased from about 10 per cent of gross tax revenues of the Union to 18.55 per cent between 2011-12 and 2019-20.
- A fourth and final example is about mineral royalties payable to States on major minerals¹⁰ extracted from within their jurisdiction. Royalty rates are statutorily required to be reassessed at given intervals, usually to raise them to allow States to share the benefits of rising prices. This feature was really important when royalty rates were specific (i.e., fixed amounts per unit of output), and the central government delayed revisions in the face of fast-rising prices of minerals like iron ore; now that these rates have been changed to *ad valorem* (percentage of value per unit of output), theoretically rate revisions should be less of a problem. However, there are still complaints from States that because major minerals are largely extracted by central public enterprises, the Union government often uses price data for determining value of minerals that underestimate true market value.

As against the above examples, there are some examples of the central government accommodating States' interests too. For instance, in the year 2000, the Union changed its usual practice of lending all foreign assistance in the form of debt or combination of debt and grants under its common terms for lending to States (at that point of time, the rates of interest charged were substantially higher than market rates, and an administrative charge was payable in addition) to 'back-to-back' passing on of such assistance (meaning on the same terms as received from the foreign source). This essentially meant that States could take advantage of the soft terms attached to such assistance, while they also had to bear the exchange risk of foreign-currency denominated loans.

The centralising tendency is visible on the expenditure side also, but more qualitative than quantitative. First, the constitutional provision of the Union dominance in the subjects included in the Concurrent List (decisions by the Parliament overrule any State legislations in these areas) facilitates centralisation by design. This has been expanded with a few cases of constitutional amendment moving subjects from State List to the Concurrent List. Centrally Sponsored Schemes have been, however, a greater irritant in the context of centre-State

¹⁰ Minerals are divided into three categories from the point of view of financial flows relating to them. Crude petroleum is a category by itself; the Union has full jurisdiction on its exploitation with only a royalty payable to the concerned State on onshore production (royalty on offshore production, as in the case of Bombay High oilfields, is collected by the centre). For major minerals like coal, iron ore, bauxite, copper and gypsum, the States have a say in the actual exploitation of mines, and also receive a royalty on the value of minerals extracted. In the case of minor minerals like earth, stones and sand, the States are given full control over their exploitation and royalty collections. The rates of royalty are determined by the Union government for petroleum crude and major minerals.

financial relations. These are centrally initiated and designed schemes relating to subjects in the State domain, funded fully or partially by the Union, the latter usually with matching requirements. Resource-starved State governments cannot afford refusal to participate, but matching grants distort State priorities by pulling in more State resources for the activity supported by the Scheme than would otherwise be the case (see Cullis and Jones, 1992, pp. 307-311 for a theoretical discussion of the effect of different types of grants on recipient governments' expenditure). Administered by central ministries relevant to the coverage of the scheme, in the last two decades, grants under these schemes have outweighed other types of grants. Apart from limiting State autonomy in practice, these grants also modify the regional pattern of equity and the incentive structure built into the Finance Commission transfers. To be sure, there is a place for such conditional matching grants in a federal system; but it is the quantum of these grants that really generate skepticism about their legitimacy in India. These grants have a tendency of proliferating and attempts to limit their number and financial flows in the past have been defeated by the internal dynamics of the governmental processes within the Union government.

12.5.2 Regional Equity and Horizontal Imbalance

India is one of the countries with fairly high levels of regional inequality. Though regional inequality and horizontal imbalance are not exactly the same as the latter refers to the limited context of public finances, there would be a presumption that these two would be highly correlated. This is because the poorer regions would have a smaller revenue base to exploit and greater need for public interventions on account of lower ability of its residents to spend on private goods and services. This is certainly the case in India, if we consider expenditure needs and revenue potentials of the States rather than the actual receipts and expenditures (Sen, 2011). A major objective of the inter-governmental transfers is to reduce vertical imbalances, which can then contribute to reduction in regional inequalities. Admittedly, the latter is determined by several interrelated factors other than the State's public finances, some of which are within the public policy domain. However, the link between development and public policy (implementation of most of which requires financial resources) is summarised in Figure 12.1.

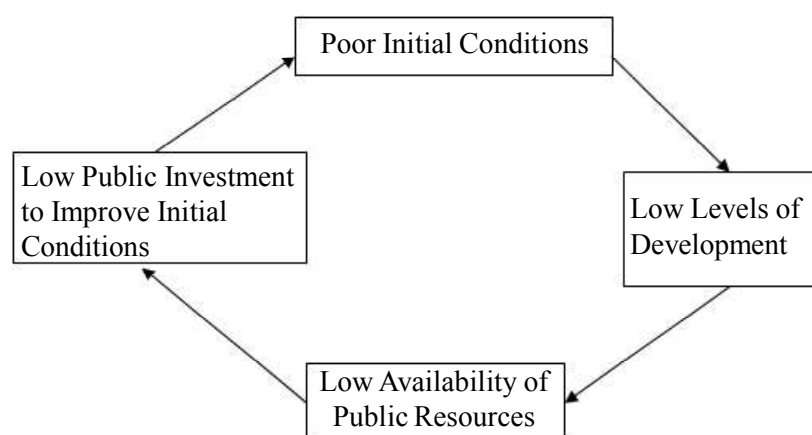


Fig. 12.1: Vicious Cycle of Public Interventions for Development

Source: Reproduced from Sen (2011)

It is this vicious cycle that the system of fiscal federalism is expected to disrupt; unfortunately that has not happened to any appreciable extent. The salient causes may be summarised as follows:

- Various elements of public policy have worked at cross purposes. Empirical studies have shown that among different channels of fiscal transfers, only Finance Commission transfers have been somewhat equalising (inversely related to per capita income of individual States). Earlier Plan assistance, transfers under Centrally Sponsored and Central Plan Schemes and other transfers have no significant relationship with per capita income. Central investments in public sector undertakings also have not been progressive, nor the major budgetary subsidies of the central government or credit flows from the financial institutions (Rao and Sen, 1996). The lack of coordinated public policy aiming to reduce regional disparities has thus witnessed a widening of the disparities over the years.
- Even the Finance Commission transfers have been less equalising than they could have been. Their refusal to consider investment requirements of various States – particularly important for low-income States – even after the discontinuation of the Planning Commission that was expected to attend to this aspect has pushed this consideration out of the agenda for Centre-State financial flows, to the detriment of prospects of dynamic equalisation. Even when considering revenue deficit grants, the receipts and expenditures are estimated using projections on the basis of actual values for a base year and not normative estimates (i.e., revenue potential and expenditure need). Since actual values of expenditure of low-income States are strongly revenue-constrained, this results in underestimating expenditure requirements of these States. In contrast, even a high-income high-spending State can qualify for grants-in-aid if it does not raise adequate revenues in fact. Even the latest report – the First Report of the 15th Finance Commission – uses a similar methodology, building in perverse incentives and negating equalisation.
- The FRBM Act also constrains developmental effort of low-income States. The absolute limit on fiscal deficit (implying a limit on borrowings), makes it difficult for low-income States to borrow and invest beyond the prescribed limit, even if such a course of action is financially viable and required for development purposes.

Thus, with the design of fiscal federalism not providing resources for accelerating the developmental process to the low-income States, they are left to do so with the resources they can raise themselves, which are constrained by the smaller base compared to other States. Widening disparities is a logical outcome of this framework.

Check Your Progress 3

- 1) In what sense India's fiscal federalism is branded as 'quasi-fiscal federalism'?

.....

.....

.....

.....

- 2) Which aspects of public policy have been operating at a cross-purpose?

.....

.....

.....

.....

.....

- 3) Identify the critical issues in fiscal federalism in India.

.....

.....

.....

.....

.....

.....

12.6 LET US SUM UP

Federalism refers to a system having more than one level of governance, each with some autonomy and decision-making power. Under such a system, the powers and responsibilities are distributed among the different layers of the Government. The overall responsibilities of the Government are classified into three groups– resource allocation, distribution of wealth and income, and stabilisation of the economy. The fiscal operations of the Government i.e., revenue raising and public expenditures at different levels play a significant role in discharging the above responsibilities.

Apart from the tiers of the Government, the institutional structure relating to fiscal federalism in India involves primarily the Finance Commission and GST Council at the Central and State level and to a lesser extent the NITI Aayog. The Constitution provides for appointment of a Finance Commission every five years or earlier with a set of terms of reference. The constitutionally mandated tasks at present include inter-alia, sharing of Central tax revenue with States, recommending grants-in-aid to individual States to cover revenue deficits for onward transmission of local bodies, for meeting natural calamities and for any other reason at its discretion. State Finance Commissions are appointed by the State Governments to deal with State local Financial relations, mainly fiscal transfers from State Governments to the local bodies.

The 15th Finance Commission was appointed in November 2017 and its full report is expected by the end of 2020. The commission has been asked to provide its recommendation for five more years till 2025-26.

Centralisation and vertical imbalance, regional inequality and horizontal imbalance difficulties being faced by low-income states in borrowing and investing beyond the prescribed limits due to FRBM set, widening disparities, etc. are issues of concerns with the present design of fiscal federalism.

12.7 TERM-END EXERCISES

- 1) State in brief the principles of Federal finance. How far these principles have been adhered to the Centre-State financial relations in India?
- 2) What is Finance Commission? How is it different from NITI Aayog and GST Council? Evaluate the recommendations of 14th Finance Commission.
- 3) “The question of Centre-State relations has become the focal point of discussion for a number of reasons”. Comment on this statement and point out the reasons for conflict between Center and State.

12.8 KEY WORDS

- Gadgil Formula** : A formula of plan assistance to States adopted since the Fourth Plan (1969-74) which provided that distribution of plan assistance to the States should take five elements into account. This is named after Professor D.R. Gadgil, the then Vice-Chairman of the Planning Commission.
- Gap-filling Approach** : Assistance to States for rectifying imbalances—vertical or horizontal—is essentially in the nature of a device to bridge a budgetary gap. However, the phrase ‘gap-filling approach’ epitomises the practice of Finance Commissions of recommending grants-in-aid to States on the basis of estimated gap between forecasted expenditure and receipts (inclusive of tax shares) on revenue account.
- Horizontal Imbalance, i.e., Horizontal Federal Fiscal Imbalance** : The imbalance between the expenditure requirements and own revenues of different constituents units of a federation mainly on account of differences in fiscal capacities arising out of regional economic disparities. Rectifying horizontal imbalance means promoting regional equalisation.
- Inter-State Council** : In 1990, the Government took the step of invoking the constitutional provision (Article 263) and forming an Inter-State Council charged with the duty of: “(a) inquiring into and advising upon disputes which may have arisen between States; (b) investigating and discussing subjects in which some or all of the States or the Union and one or more of the States, have a common interest; or (c) making recommendations upon any such subject”.
- Statutory Transfer** : Transfer of resources from Centre to States under tax devolution and Article 275 grants-in-aid at the recommendations of the Finance Commission.